Cambridge (CIE) A Level Business

Your notes

Human Resource Strategy (A Level)

Contents

- Approaches to Human Resource Management (HRM)
- Managing Employee Performance
- Information Technology and Artificial Intelligence in HRM

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The difference between 'hard' and 'soft' HRM

- Businesses use different approaches to meet their HR objectives. These are typically grouped into **soft** and **hard** human resource management (HRM) strategies:
  - **Soft HRM**
    - Focuses on employees as valuable long-term assets
    - Emphasises motivation, engagement, and development
    - Often linked to higher **staff retention** and job satisfaction
      - E.g. The **John Lewis Partnership** applies soft HRM by giving employees a stake in the company and a voice in key decisions
  - **Hard HRM**
    - Treats employees more like a resource to control and minimise costs
    - Focuses on efficiency, short-term contracts, and minimal employee involvement
    - Often linked to lower labour costs but higher **labour turnover**
      - E.g. **Sports Direct** has been criticised for using **zero-hour** contracts, a hallmark of hard HRM
- Most businesses combine elements of both approaches depending on their strategy, budget, and industry

Flexible working contracts

- Flexible working contracts include those that allow employees to choose when, where, or how they work to better suit their needs and lifestyle

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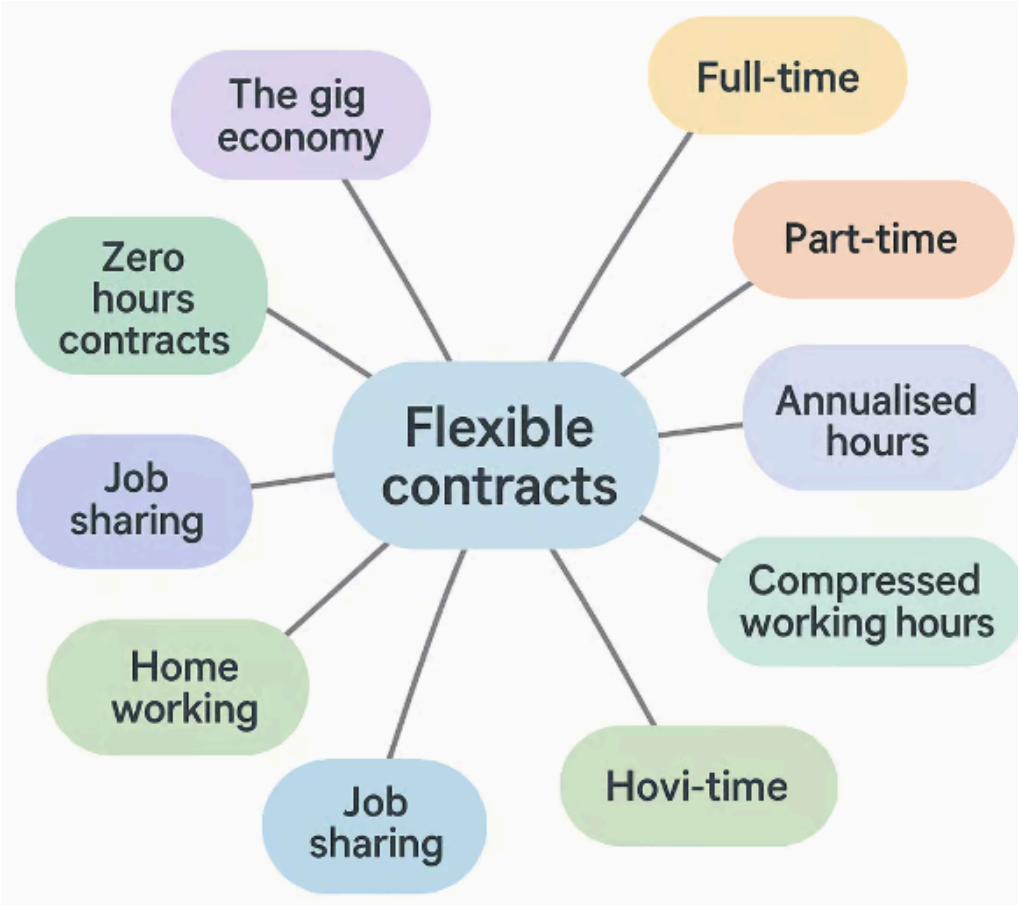

Flexible working can include part-time, flexi-time and job sharing contracts

Full-time contracts

- A full-time employment contract requires the employee to work the number of hours per week set by the company
  - In the UK, full-time employees are classified as those who **work 35 hours a week** or more
  - At **Save My Exams**, a full-time employee works 40 hours each week

Advantages	Disadvantages
▪ Staff are available every working day, so planning and teamwork are straightforward ▪ Lower recruitment and training cost per hour than hiring many part-timers	▪ Fixed wage bill even when demand is low ▪ Less flexibility, so overtime may be needed to cover sudden peaks in demand

Part-time contracts

- Employees who work **part-time** may only work two or three days a week

- Part-time employment may be **more flexible** and can be adjusted subject to employee availability and employer requirements
  - Part-time employees at the US company **Costco** work between 24 and 40 hours per week

Advantages	Disadvantages
▪ Easy to match staff numbers to busy and quiet times, cutting labour costs ▪ Attracts new workers, such as parents or students, who bring fresh ideas and skills	▪ More people to schedule and train, which takes extra time ▪ Communication gaps can arise when some staff are off-duty

Annualised hours

- An **annualised hours contract** sets the employee's working time as a total number of hours to be completed over the whole year, rather than a fixed number each week
  - Wages are usually spread evenly, so employees receive the same salary each month even though weekly hours may rise or fall

Advantages	Disadvantages
▪ Total hours are agreed, so labour cost follows seasonal demand without large overtime bills ▪ Steady monthly salary helps retain staff during quiet periods	▪ Planning and tracking each employee's yearly hours can be complex ▪ If demand is underestimated, the firm may still be short-staffed in peak months

Compressed working hours

- A **compressed hours arrangement** means an employee works their normal total hours for a period, but squeezes them into fewer, longer working days
  - E.g. Government offices in **Australia** allow staff to compress fortnightly hours into eight longer days, freeing every ninth and tenth day

Advantages	Disadvantages
▪ Longer shifts give longer daily coverage without extra overtime pay ▪ Fewer working days can lower utility and facility costs	▪ Productivity may fall towards the end of very long days ▪ Harder to arrange meetings when employees' free days differ

Shift working

- This involves **working different periods at different times**, usually on a **rota**

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- It usually refers to anything outside of the standard Monday-Friday working week
  - Some warehouse employees might need to work an early shift to ensure deliveries are ready to go
  - In many care homes, night shifts are a regular part of the job

Advantages	Disadvantages
▪ Enables 24/7 production or service, maximising the use of equipment ▪ Allows the firm to serve customers in different time zones.	▪ Night and weekend shifts often atract premium pay and extra supervision ▪ Health and safety risks can rise, leading to absenteeism or higher insurance costs

Flexi-time

- Flexi-time allow employees to **schedule working hours around their individual needs** and accommodate their commitments outside of work
- It usually involves **working some set hours**, with the remainder of hours organised according to the employees' needs
  - E.g. An employee may be expected to be at work between the hours of 10am and 2pm, but can choose when they complete the rest of their working hours

Advantages	Disadvantages
▪ Higher staff morale and retention because employees control their hours ▪ Less lateness and fewer absences, as workers avoid rush-hour travel	▪ Ensuring cover at all times can be difficult, harming customer service ▪ The firm needs reliable systems to record and monitor hours worked

Home working

- **Advances in communication technology** have enabled a larger proportion of workers than ever before to work from home
  - Employees use tools such as **email**, **instant messaging**, **collaborative software**, **scheduling apps** and **videoconferencing** to carry out work remotely

Advantages	Disadvantages
▪ Smaller or fewer premises may be required, **reducing costs** ▪ Workers may be **more productive** if they work in isolation, away from distractions	▪ The cost of equipping workers with technology to work remotely may be significant ▪ There may be **less opportunity for collaboration** between workers, reducing innovation

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Job sharing

- Job sharing is where **two or more employees divide a job** between them to cover one full-time role
  - Pay, benefits and leave entitlement for job sharing are allocated on a proportional basis

Advantages	Disadvantages
▪ Keeps two experienced people, so absences are covered and skills stay in-house ▪ Can raise morale and loyalty because staff have a better work–life balance	▪ Extra admin time is needed for hand-overs and payroll for two people instead of one ▪ Risk of missed or duplicated tasks if communication between sharers is poor

Zero hours contracts

- This is where an employee agrees to be available for work as and when required, with no particular number of hours or times of work specified
  - In the UK, zero-hour contracts are controversial
    - Trade unions and the media have accused businesses, such as **Sports Direct**, of using them to exploit workers
    - In 2015, UK employers were banned from offering zero-hour contracts that prevented employees from working for another employer at the same time

Advantages	Disadvantages
▪ Labour costs match demand exactly; if workers do not work, they are not paid ▪ It is easy to bring in staff quickly to cover unexpected peaks in demand	▪ Workers may feel insecure and be less committed or leave at short notice ▪ Negative publicity and legal scrutiny can damage the firm's image

The gig economy

- This is where people earn money by completing short, on-demand tasks instead of holding traditional, permanent jobs
  - E.g. In India and Southeast Asia the rapid expansion of ride-hailing and food-delivery apps such as **Gojek** and **Swiggy** has created many jobs in the gig economy

Advantages	Disadvantages
▪ Businesses have quick access to a large pool of worldwide freelancers at low cost	▪ It can be harder to control quality and protect confidential data

▪ Output can be scaled up or down rapidly without long-term employment obligations	▪ Regulations and tax rules for gig workers can change, adding undertainty and risk

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Management by Objectives (MBO)

- Management by objectives involves managers and employees jointly setting clear, measurable goals that link each job to the organisation's overall aims
  - Performance is then judged on the results achieved

How MBO is implemented

- **Set organisational goals**
  - Senior management define a set of strategic targets
- **Cascade and agree individual objectives**
  - Each manager works with team members to translate these targets into personal SMART goals
- **Action plans, monitoring and feedback**
  - Resources and deadlines are agreed, progress is tracked, and regular check-ins provide guidance
- **Appraisal and reward**
  - At the review stage, achievement of the agreed objectives informs performance ratings, pay rises and further development plans

Usefulness of MBO to a business

- **Focus and alignment**
  - Everyone understands exactly what is expected and how their work supports corporate goals, reducing wasted effort
- **Motivation and engagement**
  - Because employees help set their own targets, they feel ownership, leading to higher commitment, better communication and stronger job satisfaction
- **Fair, data-based management**
  - Clear, quantifiable objectives give managers unbiased criteria for appraisal, feedback and rewards, cutting disputes and making decisions more transparent
- **Broader benefits**
  - Goal-setting encourages forward planning, highlights training needs, and can improve overall company performance by linking day-to-day tasks to long-term strategy

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Measurement of employee performance

- The effectiveness of a business's workforce can be measured in a number of ways, including
  - Labour productivity
  - Absenteeism
  - Employee costs as a percentage of turnover
- These metrics are compared over time, between functional areas, branches or outlets, or against competitors
- They can provide the basis for workforce planning and performance management

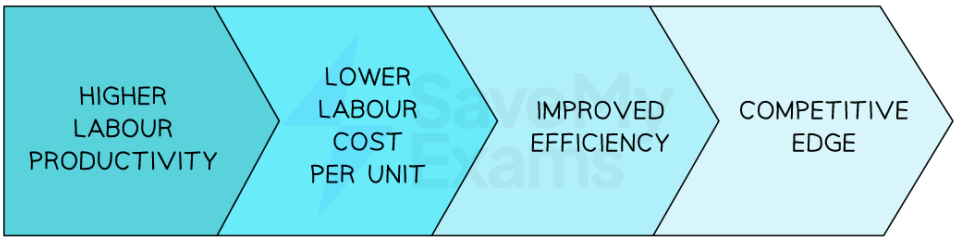
1. Labour productivity

- **Labour productivity** measures **output per worker** during a specified period of time
  - It is expressed as a number of units and calculated using the formula

$$\text{Labour turnover} = \frac{\text{Number of staff leaving} \times 100}{\text{Average number of staff}}$$

- Businesses aim to **increase the level** of labour productivity to **improve competitiveness**

The link between high labour productivity and competitive edge



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Higher labour productivity improves businesses competitiveness

Worked Example

The table shows the number of pairs of luxury wool socks produced by StrumpMani in 2023 and 2024

Year	Units Produced
2023	46,000
2024	69,000

In 2023 StrumpMani employed 50 staff. In 2024 the number of staff employed by the business increased by 20%

Calculate the percentage change in labour productivity between 2021 and 2022.

[4]

Step 1 – Calculate labour productivity for 2023

$$= \frac{46{,}000 \text{ units}}{50 \text{ workers}} \quad (1)$$

$$= 920 \text{ units per worker}$$

Step 2 – Calculate labour productivity for 2024

$$= \frac{69{,}000 \text{ units}}{60 \text{ workers}} \quad (1)$$

$$= 1{,}150 \text{ units per worker}$$

Step 3 – Calculate the percentage difference between the two years ((new-old) / old)

$$= \frac{1{,}150 - 920 \text{ units}}{920 \text{ units}} \times 100 \quad (1)$$

$$= 25\ \%$$

Step 4 – Identify whether the percentage difference is an increase or decrease

- Labour productivity has **increased by 25%** (1 mark)

2. Absenteeism

- The absenteeism rate is a measure of the **proportion of staff were absent from work** during a **specific period of time** (e.g. a day, week or month)
- It is expressed as a percentage and is calculated using the formula

$$\text{Absenteeism rate} = \frac{\text{Number of staff absent}}{\text{Number of staff employed}} \times 100$$

- **High levels** of absenteeism can cause several problems for a business, including
  - Absence due to illness requires sick pay to be paid
  - Hiring temporary staff to cover for those absent **increases costs**

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- Output is likely to be temporarily reduced if staff are key to production process
- Other staff may become **demotivated** if they have to constantly cover for absent workers
- A wider **culture of absenteeism** may develop

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Worked Example

On January 16th twenty-two of *Belling Stoneworks Ltd's* 189 employees were absent.

Calculate Belling Stoneworks Limited's absenteeism rate on January 16th.

(2)

Step 1: Substitute the values into the formula

$$= \frac{22}{189} \times 100$$ **(2)**

$$= 11.64\%$$

3. Employee costs as a percentage of turnover

- This metric shows how much of a business's revenue is spent on paying employees
  - It helps assess how efficiently the workforce is being used
- It is calculated using the formula:

$$\text{Employee costs as \% of turnover} = \frac{\text{Employee costs}}{\text{Turnover}} \text{ x } 100$$

Worked Example

In the 2022–2023 financial year, Tesla had:

- Revenue = £5,297 million
- Employee costs = £2,894 million

Calculate the employee costs as a % of turnover between 2022 and 2023.

[2]

Step 1 – Substitute the values into the formula

$$= \frac{2{,}894 \text{ million}}{5{,}297 \text{ million}} \text{ x } 100$$ (1)

$$= 54.6\%$$

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Step 2 – Present the final answer

- 54.6% of turnover was spent paying staff (1)

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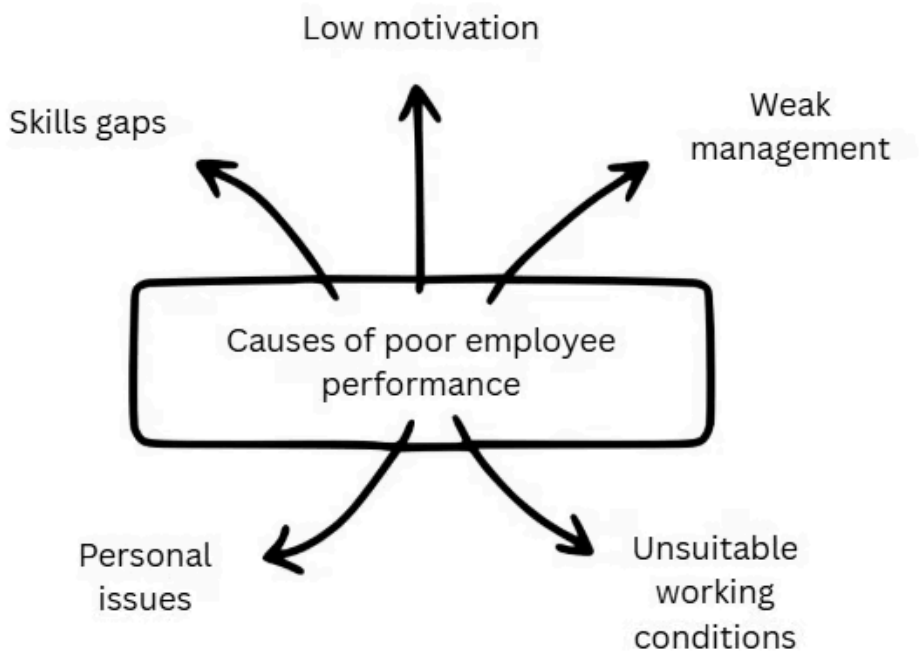
Causes and consequences of poor employee performance

Causes of poor employee performance



Skills gaps, low motivation, weak management and poor working conditions can affect employee performance

- **Skills gaps**
  - Weak recruitment or training means staff lack the skills or knowledge to do a job properly
- **Low motivation**
  - Poor pay, little recognition or limited career prospects may cause employees to make less effort with their work
- **Weak management**
  - Unclear goals, poor communication or inconsistent feedback can confuse staff, reducing their productivity
- **Unsuitable working conditions**
  - Unsafe, uncomfortable or poorly equipped workplaces can reduce output

- **Personal issues**
  - Health, stress or family problems can distract employees from work

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Consequences of poor employee performance

Consequence	Impact	Example
Falling productivity	▪ Unit costs rise, so prices become less competitive	▪ A car-assembly plant with outdated training builds fewer cars per hour than rivals in Japan, forcing it to charge higher prices
Quality errors	▪ More defects and complaints harm the firm's reputation	▪ A smartphone maker in China ships handsets with faulty cameras, leading to negative online reviews and returns
Missed deadlines and lost sales	▪ Late deliveries drive customers towards rivals	▪ An online fashion retailer in Germany misses pre-Christmas shipping dates; shoppers switch to a competitor with guaranteed delivery
Higher absenteeism and turnover	▪ Extra spending on recruiting and training replacement staff	▪ A fast-food chain in Brazil sees many staff call in sick or quit, so managers spend time and money hiring and retraining new crew members
Low team morale	▪ Poor performers drag down colleagues, weakening the business's culture	▪ In an Indian call centre, constant errors by a few agents frustrate co-workers, lowering overall enthusiasm and service quality

Strategies for improving employee performance

- Key HR objectives include
  - Raising labour productivity, as this lowers labour cost per unit, improving business competitiveness
  - Reducing absenteeism, as this can reduce training costs and overtime payments, and can build a positive team spirit
  - Reducing labour costs as a proportion of revenue, as this increases efficiency and lowers unit costs

Ways to improve employee performance

Financial rewards

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- Paying workers more or sharing profits may **increase commitment** and effort, leading to **higher output and productivity**
- Bonuses and commissions are only paid when they have been earned or if **targets have been met**
- Attendance and loyalty rewards may improve the intrinsic **motivation** of workers as they feel valued

Employee share ownership

- Rewarding senior executives and managers with shares may increase their **commitment to achieving objectives**
- Employees who own shares in the business may **work harder and take less time off** as they have a **financial stake** in the success of the business

Consultation

- Consultation involves managers **obtaining the views of employees** when making decisions
- Workers are likely to feel **more involved** within the business and work hard, and may be **less likely to take days off** work

Empowerment

- Providing employees with **autonomy** and **responsibility** to make their own decisions and work on their own behalf encourages them to use **knowledge** and **experience** and develop their own **solutions**
- Workers must be **properly trained** and equipped with the **necessary resources** to be properly empowered
- Leaders need to be **prepared to hand over authority** and focus on providing encouragement, praise and **feedback**

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The use of IT in HRM

- Information technology (IT) is increasingly used to automate processes in HRM such as:
  - **Record keeping**
    - Keeping employee details
    - Holding training and appraisal documents
    - Storing tax and pension records
  - **Scheduling**
    - Planning shifts
    - Monitoring periods of leave
    - Prioritising tasks
  - **Recruitment**
    - Online job advertisements, including the use of social media
    - Electronic application submission
  - **Training**
    - E-learning training modules
    - Online assessments
    - Remote training sessions using videoconferencing software
  - **Performance management**
    - Performance capture using monitoring software
    - Online appraisal meetings
    - Email distribution of performance targets

Implications of using IT in HRM processes

Implication	Explanation

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Saves time	▪ Automating standard processes such as work schedules and document storage can **free up managers' time** to focus on more complex issues ▪ Using IT increases **convenience**, as processes can be completed at any time ▪ E.g. An online job application can be submitted at any time
Employee concerns	▪ Collecting data on employee performance using automated systems can cause disquiet amongst staff, who may **feel that they are being watched** ▪ Some employees may be concerned about the **security** of personal and performance data being held in IT systems
Communication between managers and subordinates	▪ Workers may feel **remote from their managers** when contact is largely conducted online, possibly leading to a **them and us** culture to develop ▪ Less two-way discussion may limit the opportunity for employees to **share ideas, concerns and queries** with managers

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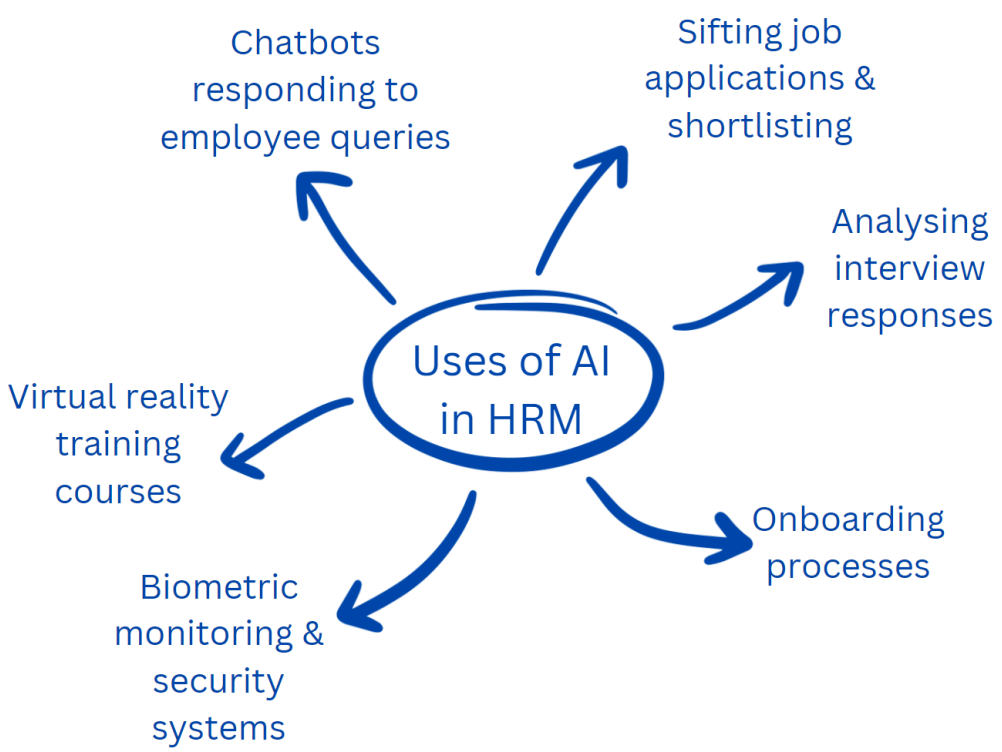
The use of artificial intelligence in HRM

- **Artificial intelligence** (AI) is the ability of a **computer or robot** to perform tasks commonly carried out by human beings due to their complexity
- AI is expected to have a **significant impact on HRM processes**
  - Recent research suggests that in larger businesses AI is already widely used in HRM processes, including **employee records management, payroll processing, recruitment, performance management** and **onboarding new employees**

The use of AI in HRM processes



Artificial intelligence is being used in a variety of ways to automate HRM processes, such as recruitment, selection, onboarding and employee training

Sifting job applications and shortlisting

- AI can be used to swiftly **review the contents of job applications** and determine which meet the requirements of the **job description** and **person specification** without bias and determine which candidates should be invited to an interview

Analysing interview responses

- Recordings of responses to interview questions can be analysed using AI to determine which are **aligned most closely** with business values
- In real time, AI can even be used to **suggest suitable follow-up questions** within an interview

Onboarding

- AI can be used to automate processes **before a successful candidate begins working** for a business, such as
  - Responding to employee questions
  - Verifying employee documents
  - Handling administrative tasks such as providing IDs and access to company hardware and software
  - Conducting induction training

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Biometric monitoring and security systems

- Tools such as fingerprint scanning and facial recognition can be used alongside AI tools to control processes such as access to physical premises and IT equipment as well as monitoring attendance

Virtual reality training

- Virtual reality software uses AI to **create environments that respond to trainee actions and choices**, providing realistic and tailored interactive training

Chatbots responding to employee queries

- Chatbots that **respond to frequently-asked questions** related to aspects such as pay, paid leave and employee benefits can increase the amount of time HR managers have to spend on strategic elements of their role

Examiner Tips and Tricks

You will not be required to demonstrate extensive knowledge of specific IT or AI tools used by HRM

However, you may be required to analyse the impact of the increased use of these developments on those who work in HRM, or on workers interacting with automated processes

Future developments in IT and AI in HRM

- **Sharper forecasting**
  - More accurate models will predict skill gaps and ideal training paths years ahead
- **Ethical AI controls**
  - New regulations will require transparent explanations of AI decisions and regular bias checks
- **Well-being analytics**
  - Real-time monitoring of workload and feedback could identify stress and burnout before absence levels rise
- **Generative-AI learning coaches**
  - On-demand micro-lessons tailored to each employee's questions
- **HR 'super-apps'**
  - A single mobile platform for payslips, rota swaps, feedback, coaching and mental-health support
- **Virtual-reality induction**

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- Immersive tours and simulated practice tasks for new starters before their contract begins

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